State Bond Referenda Questions

Referenda Questions 1 – 5 involve authorizing the State to borrow money through bonds and temporary notes to make capital investments **(Chapter 084 Public Laws 2026).**

What is a bond?

A bond is like a mortgage or loan. Just like people might borrow money to get an education or buy a home, the State is asking to borrow money from a lender with the promise to pay it back over time with interest. These questions are asking you for permission to borrow and invest in different areas of our state.

Here is a table of the bond proposals and their associated costs including principal and interest. Just as with a mortgage or loan, the total cost includes the principal amount borrowed and the amount of interest paid over the term of the bond. The total cost also includes any fees, printing, or underwriting expenses associated with issuing the bonds.

STATE BOND QUESTIONS	PRINCIPAL	INTEREST	TOTAL COSTS
1. Higher Education Facilities	$275,000,000	$166,333,250	$441,333,250
2. Housing and Homeownership	$120,000,000	$72,586,000	$192,586,000
3. Economic Development	$100,000,000	$60,483,750	$160,483,750
4. Cultural Economy	$50,000,000	$30,242,500	$80,242,500
5. Green Economy Bonds	$55,000,000	$33,267,500	$88,267,500
TOTAL BORROWING COSTS FOR ALL REFERENDA	$600,000,000	$362,913,000	$962,913,000

The total costs above are only estimates based on 20-year loans and an interest rate of 5%.

On the ballot, you will be asked:

"Shall the act passed by the General Assembly at the January 2026 session, allowing the State of Rhode Island to issue bonds, refunding bonds, and temporary notes to pay for the projects listed below, be approved, and the State be allowed to issue these bonds, refunding bonds, and temporary notes as outlined in the law?"

The following pages provide more information about each of the bond questions including their total estimated cost and project timetable. These estimated costs assume the bonds are gradually paid off with level payments over a 20-year period.

About Question 4:

What it will look like on the ballot:

4. CULTURAL ECONOMY - $50,000,000

To provide funding for cultural economy efforts, to be allocated as follows:

a. State History Center - $45,000,000

b. State Preservation Grants Program - $5,000,000

⬭ **Approve**

⬭ **Reject**

Approve

Your vote to "Approve" means that you support the State issuing $50,000,000 in general obligation bonds for cultural economy efforts.

Reject

Your vote to "Reject" means that you are against the State issuing $50,000,000 in general obligation bonds for cultural economy efforts.

Explanation and purpose of Question 4:

a) State History Center - $45,000,000

Approval of this bond will provide forty-five million dollars ($45,000,000) to construct a cultural and educational destination within the State government complex in Providence. The State History Center will have exhibit space for some of Rhode Island's most treasured historic documents, as well as a state-of-the-art space for storage of the most valuable documents and objects currently being held at the State Archives. To promote civic education and engagement, the State History Center will have a multi-purpose space ideal for interactive learning.

b) State Preservation Grants Program - $5,000,000

Approval of this bond will provide five million dollars ($5,000,000) for the Rhode Island Historical Preservation and Heritage Commission to continue to administer multiple annual cycles of the State Preservation Grants Program. These grants provide funding to cities, towns, and nonprofit organizations to preserve, renovate, and improve public and nonprofit historic sites, museums, and cultural art centers located in historic structures and heritage museums throughout the state of Rhode Island.

How much money will be borrowed?

$50,000,000

Project timetable:

a) The State History Center construction is expected to be completed and the project ready for use by fall 2030.

b) Historical Preservation and Heritage Commission bond proceeds will be made available beginning in 2027 and are expected to be awarded in annual grant cycles over three to five years.

Useful life:

a) The State History Center's estimated useful life will be approximately 50 years.

b) While each facility and project differs, the Historical Preservation and Heritage Commission grants will help to keep the properties in good repair and open to the public for at least 20 years.

Total cost:

PROJECT COSTS		COST OF ISSUANCE*	
Principal	**Interest****	**Principal**	**Interest****
$49,800,000	$30,121,530	$200,000	$120,970

TOTAL PROJECT AND ISSUANCE COSTS		
Principal	**Interest****	**Total Costs**
$50,000,000	$30,242,500	$80,242,500

** Cost of issuance estimated at 0.4% of principal issued.*

*** Assumes an interest rate of 5%, with bonds amortized with level payments over 20 years.*